CRUDE OIL & INDIAN EQUITIES

Report on the Price Action of Crude Oil

To find the effect of the changing crude oil scenarios on the Indian Stock market and how will it affect the financials.

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Research Period: 8th September 2025

1 Factors Affecting the Indian Stock Market

The factors which will directly affect the market are:

1.1 Global Oil Price Movements (Brent/WTI)

- Rising crude oil prices → benefit upstream companies (ONGC, OIL) but hurt downstream refiners (IOC, BPCL, HPCL) due to higher input costs.
- Falling crude oil prices → hurt upstream profits but improve refining margins and consumer demand.

1.2 OPEC+ and Supply Decisions

- Cuts in production → Brent prices rise → upstream gain, downstream face margin pressure.
- Surplus supply → Brent prices fall → refining sector gains, upstream loses.

1.3 Geopolitical Risks

- Conflicts in the Middle East, Russia-Ukraine war, or sanctions → disrupt supply → oil prices rise → volatility in Indian oil stocks.
- Stable geopolitics → smoother imports and better predictability for refiners.

1.4 Global Demand Conditions

- Global GDP growth → higher oil demand → higher prices → bullish for upstream.
- Recession in US/EU/China → oil demand weakens → bearish for both upstream and refining margins.

The OPEC+ producers announced that they are going to increase the output in order to stabilize the market prices thus lowering the dependance on the non-OPEC producers.

But two factors come into play. The global oil demand is very high due to the festivities lingering all around the world from the months of September to December.

Now the production hike so announced by the OPEC producers isn't really that much high to resolve the complete supply demand raised in the market.

Added to that, the increasing war situations entangled by nonstop retaliation by Russia is significantly affecting the stability of the crude oil market as Russia plays a very important role in the OPEC producer list.

2 September 2025 Crude Oil Price Action

If we see very minutely, then a steep increase is visible in the graph from the midnight of 5th September which started taking a marathon run from 8th September just because on 8th September, the OPEC producers released their estimated production hike which came out to be very modest in regards to the needs of the world.

Had the war in Russia and Israel not going hand in hand, then there would have been a slight price action towards the negative side.

3 Benefit of the Indian Markets From This

3.1 Stocks to Invest and Why

Since the crude oil prices are rising, investing in ONGC or companies in the upstream related to the production seems much more beneficial.

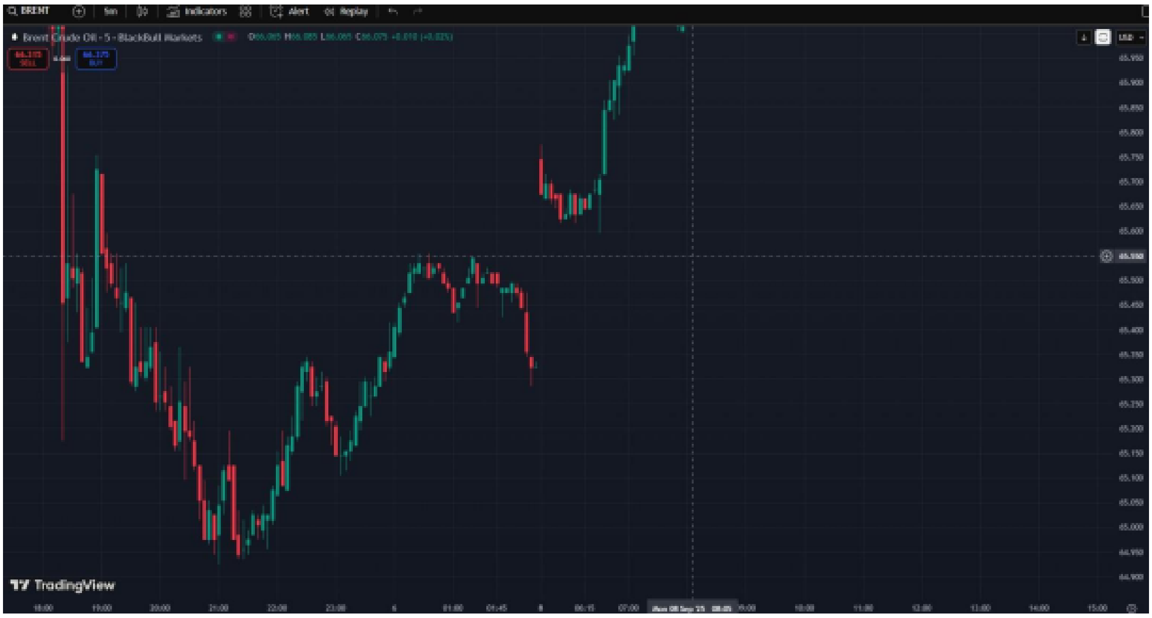

Figure 1: Crude oil price action during the research period.

Talking about the downstream refiners, out of the major giants IOC, BPCL and HPCL, the only companies with good amount of cash flow very much extensive in this cash strapped industry is BPCL and HPCL. Let's have a look over their financials.

4 Company-Level Financial Analysis

4.1 IOC, BPCL and HPCL

HINDPETRO · BSE · Hindustan p

Enterprise Value	**737,660**	**925,472**	**1,107,387**	**1,472,565**
Revenue	3,485,886	4,392,003	4,320,347	4,320,087
% Growth	-	*26.0%*	*-1.6%*	*-0.0%*
Gross Profit	217,264	74,309	380,713	371,099
% Margin	*6.2%*	*1.7%*	*8.8%*	*8.6%*
EBITDA	109,049	-34,119	285,057	170,006
% Margin	*3.1%*	*-0.8%*	*6.6%*	*3.9%*
Net Income	72,942	-69,802	160,146	67,357
% Margin	*2.1%*	*-1.6%*	*3.7%*	*1.6%*
EPS Diluted	51.38	-49.21	112.89	31.66
% Growth	-	*-195.8%*	*-329.4%*	*-72.0%*
Operating Cash Flow	158,102	-34,663	238,519	142,277
Capital Expenditures	-123,448	-94,467	-100,712	-95,793
Free Cash Flow	**34,655**	**-129,130**	**137,806**	**46,484**

Figure 2: HPCL financial data.

IOC hasn't really increased their Capex but their overall costings has shoot up leaving them with negative cashflow, which means they have to put in money from the company treasury to fund their operations which is honestly very risky to invest in.

On the other hand, BPCL and HPCL are having enough cash flow to fund their operations in times of need which gives a very positive signal.

Along with that, BPCL is investing 95k crores to build a refinery plant in Andhra Pradesh which more or less hints to the fact that investing in these companies can be fruitful in the long run keeping in mind their further future ventures.

IOC · NSE

EBITDA	496,111	322,852	790,715	404,162
% Margin	*8.5%*	*3.8%*	*10.2%*	*5.3%*
Net Income	251,022	97,921	417,297	135,978
% Margin	*4.3%*	*1.2%*	*5.4%*	*1.8%*
EPS Diluted	12.15	7.11	30.30	9.87
% Growth	-	*-41.5%*	*326.2%*	*-67.4%*
Operating Cash Flow	245,703	296,437	710,986	346,993
Capital Expenditures	-230,371	-326,001	-371,754	-348,499
Free Cash Flow	**15,332**	**-29,564**	**339,233**	**-1,507**

Figure 3: IOC financial data.

BPCL · NSE

Net Income	116,815	21,311	268,588	133,366
% Margin	*3.4%*	*0.5%*	*6.0%*	*3.0%*
EPS Diluted	27.45	5.00	63.04	31.21
% Growth	-	*-81.8%*	*1,160.8%*	*-50.5%*
Operating Cash Flow	203,356	124,656	359,359	236,778
Capital Expenditures	-77,506	-85,486	-95,791	-151,431
Free Cash Flow	**125,850**	**39,170**	**263,568**	**85,347**

Figure 4: BPCL financial data.

5 Additional Factors Affecting the Analysis

However, there is another factor which does play a very important role in the analysis.

By data, the production resources of India are reducing at a rate of 3% YOY, hence a high amount of portfolio invested in the upstream will be a bad choice.

US has imposed tariffs on India due to import of oil from Russia and not them.

Added to that, we have been seeing that the rupee is going all time low which might spark a thought that due to the high prices of USD, the cost will also be high thus increasing the price at which the crude oil is supposed to reach the Indian markets.

But here there is a catch.

Last year India has successfully conducted oil trade from UAE on transaction agreements which weren't made through their traditional currency.

It was done through XRP thus ensuring injustice to neither of the parties.

Hence Investing in BPCL, HPCL in this scenario will be a positive stance.

6 Another Sector Which Can Be Thought of to Diversify the Portfolio

The other most famous sector which can be tapped is the EV sector.

In Europe; the demand of crude oil has reduced drastically due to the increased adoption of EV vehicles.

In India, with the more usage of EV vehicles, the dependance on crude oil will decrease and thus investing in EV will come out to be a good decision.

Let's see the graph.

6.1 Ather Energy

This is the Graph of ATHER ENERGY.

The market did receive a lot of noise in the first week of September due to the tumbling prices of the crude oil commodity while on the other hand EV makers had seen a rally in their prices soaring steeply in spite of having safety concerns.

Figure 5: Ather Energy price chart.

6.2 Ola Electric

Please refer to this graph for confirmation. This is the graph of OLA electric.

The other reason why people have started to depend on the EV and not on the oil-based vehicles because firstly, the oil prices are repeatedly increasing due to tariffs, war etc.

Added to that, recently India went through many national calamities like flood where unusually EV vehicles came out to be successful in some places and got tagged as more efficient than the traditional vehicles.

With the rumors of ethanol blend to be introduced to the streets of India, to the Indian citizens this felt a bit off as some of them have aware of the grievous situation Brazil came across after adopting ethanol blended fuel solutions.

So, the only sector which has gained their confidence is EV.

Figure 6: Ola Electric price chart.

7 Conclusion

The crude oil market continues to remain highly sensitive to global supply-demand imbalances, OPEC+ production decisions, and geopolitical uncertainties.

India, being a net importer of crude, faces a dual-edged impact: upstream players like ONGC gain from rising prices, while downstream refiners struggle with margin pressures.

Among refiners, BPCL and HPCL stand out due to their strong cash flows and strategic expansions, making them relatively safer investment opportunities compared to IOC.

However, India's structural challenges—declining domestic oil output, rupee depreciation, and tariff-related pressures—highlight the risks of overexposure to oil-linked stocks.

This makes portfolio diversification essential.

The EV sector, which is already witnessing strong momentum, presents a parallel growth avenue as consumer sentiment gradually shifts away from fossil-fuel dependence.

In the near term, selective exposure to upstream and resilient refiners (BPCL, HPCL) combined with strategic bets on EV manufacturers (Ather, Ola Electric) offers an optimal balance between risk and opportunity.

Over the longer horizon, India's transition toward renewable and alternative energy will determine the pace at which crude oil's influence on the Indian stock market diminishes.

Research Note

This report represents the analysis conducted during the original research period in 2025. The observations, market conditions, company financials and conclusions reflect the information available at that time.

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